



External sector uncertainties and the global slowdown has depressed export markets



Multiple compliance requirements pose another challenge for the firms



Government efforts have helped only to some extent for this disparate and fragmented sector

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According to official data, as many as 35,680 MSMEs registered on the government's Udyam portal have shut since 2019. Experts say the numbers may be higher since many are unregistered. And while the pandemic may be over, millions of MSMEs continue to struggle with several old challenges even as newer ones are emerging.

While a full recovery remains elusive, experts say that easing ground-level issues and simpler compliances could improve MSMEs' productivity, giving a boost to job creation and economic growth. Despite the modest nature of their operations, MSMEs are a force to contend

with in the Indian economy. These firms—that can range from a single-person unit to medium-sized companies that employ dozens of workers—are the country's second-largest job creator after agriculture, contribute a third of the GDP, and 45% of national exports. It is estimated that there are more than 66 million MSMEs in India, with a little over 40 million being registered with the government, as of March 15, 2024.

Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small & Medium Enterprises (FISME), says MSMEs have seen a K-shaped recovery since Covid-19. Many in contact-intensive sectors such as tourism, travel and hotels have shut shop; those that survived are on the mend. Those in food processing, pharma,

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“THE GOVERNMENT DOESN'T DO ENOUGH FOR MSMEs. EVEN DURING THE PANDEMIC, WE WERE LEFT TO FEND FOR OURSELVES... WE WERE LUCKY. MANY BUSINESSES COULDN'T BEAR THE BURDEN AND SHUT DOWN”

J.S. AHLUWALIA
MD, AQUATIC FREIGHTS